

FRAUD RISK ASSESSMENT - ACCOUNTS PAYABLE CYCLE

Prepared by Internal Audit as part of the FY2026 Q1 Accounts Payable Audit engagement planning phase.

1. **OBJECTIVE.** This assessment identifies fraud risk points in the procure-to-pay cycle and the controls intended to mitigate each, to scope substantive testing for the current engagement.
2. **RISK: DUPLICATE PAYMENTS.** Risk that the same underlying invoice is paid twice, either through duplicate submission or a vendor re-issuing an invoice under a new invoice number. Mitigating control: automated duplicate-invoice check on vendor, amount, and date proximity; known gap: the check does not catch re-issued invoice numbers for the same underlying shipment or service period, which requires manual cross-reference to the shipment or work order reference.
3. **RISK: TRANSACTION SPLITTING.** Risk that purchases are deliberately split into multiple transactions to stay under an approval threshold. Mitigating control: quarterly review of round-dollar transactions clustered near approval thresholds; detection depends on the review actually being performed and escalated, not solely on the existence of the control.
4. **RISK: UNAUTHORIZED VENDOR MASTER FILE CHANGES.** Risk that a bank detail change redirects payment to an account the legitimate vendor does not control. Mitigating control: two-person approval plus callback verification per the Procurement Policy.
5. **RISK: UNDISCLOSED RELATED-PARTY VENDORS.** Risk that a vendor relationship benefiting an officer, director, or their family goes undisclosed. Mitigating control: annual related-party screening against officer/director disclosure questionnaires.
6. **CONCLUSION.** Based on this assessment, substantive testing for the current engagement should prioritize duplicate-payment detection and round-dollar threshold clustering, as these represent the highest residual risk given known control gaps identified above.